*641 Taittinger SA and Others v Allbev Ltd. and Another

Positive/Neutral Judicial Consideration

Court
Court of Appeal (Civil Division)

Judgment Date
25 June 1993

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[1993] F.S.R. 641

In the Court of Appeal

Before: The Master of the Rolls, Sir Thomas Bingham
Lord Justice Mann Lord Justice Peter Gibson

14, 15, 17 and 25 June 1993

In the High Court of Justice—Chancery Division;

Before: Sir Mervyn Davies (Sitting as judge of the High Court);

18–26 January and 8 February 1993;

Passing off—Champagne—"Elderflower Champagne"—Misrepresentation—Confusion—Remedy in English law for breach of EC. Regulations—Damage—Appeal allowed.

EC. Regulation 823/87 (as amended) Art. 15(5) .

The plaintiffs were producers of champagne and members of associations concerned with the regulation of champagne and French wines. Between them they had taken action sixty-four times to ensure that the name "champagne" was only used for sparkling wines produced in a specific way in the Champagne district of France.

The defendants produced a drink which they called "Elderflower Champagne." This was sold in the same kind of outlets as champagne, in bottles of the same shape, size and colour as champagne, with labels and wired corks similar to those used for champagne. The defendants' product was a carbonated, non-alcoholic soft drink, retailing for £2.45, whilst champagne was usually sold for sums at least three or four times that amount.

The plaintiffs sued in a representative capacity for passing off. They also claimed that the defendants were infringing Regulation 823/87 (as amended) of the EC. Regulations by using the word “champagne” on a beverage other than wine produced in the Champagne district of France. They sought an interlocutory injunction and the judge found that the balance of convenience was in their ***642** favour. [1] As a result of this the defendants gave undertakings acceptable to the plaintiffs pending trial. At trial the judge refused the relief sought, holding:

(I) The labelling of the defendants' product amounted to a misrepresentation that the bottle contained a champagne sold under the name “Elderflower.”
(ii) Such misrepresentation was calculated to deceive the defendants' ultimate purchasers and to injure the plaintiffs good will.
(iii) However, whilst a small number of people might be confused, the plaintiffs had not established any real likelihood of serious damage if the defendants continued to sell their product as “Elderflower Champagne.”
(iv) The EC. Regulation should be applied in accordance with the substantive rules of English law. In his discretion, no relief should be granted.

The plaintiffs appealed.

Held, allowing the appeal:

(1) The trial judge had rightly held that there had been a misrepresentation that the defendants' product was champagne being sold under the name “Elderflower.” It was plain that there was a misrepresentation that the defendants' product was champagne or in some way associated with it;

(2) There was ample evidence that, objectively assessed, it was a reasonably foreseeable consequence of the misrepresentation that injury to the champagne houses' goodwill would result, and the misrepresentation was plainly calculated to injure the plaintiffs' goodwill;

(3) Inevitable damage would result in that the goodwill and the distinctive name “Champagne” would be eroded with serious adverse consequences if the defendants were permitted to use the name “Elderflower Champagne”;

E. Warnink BV v. Townend & Sons (Hull) Ltd. [1979] A.C. 731 ; *Vine Products Ltd. v. Mackenzie & Co. [1969] R.P.C. 1* and *Wineworths Group Ltd. v. C.I.V.C. [1992] 2 N.Z.L.R. 327, followed* .

(4) EC. Regulation 823/87 was directly applicable where there was a risk of confusion and, prima facie, an injunction was an appropriate remedy.

Obiter , it made good sense that trade witnesses' opinions on the likely reactions of others in relation to matters which were within the sphere of their work should be admissible as evidence of likely confusion.

Observed, : *per* Sir Thomas Bingham, M.R.

The absence of substantial damage would not ordinarily justify the refusal of an injunction . . . since the [EC.] Regulation clearly treats as ***643** critical not the likelihood of damage but the risk of confusion. Nor does the existence of enforcement through the criminal law in my view deprive an aggrieved producer of his right to seek appropriate redress in the civil courts.

Cases referred to in the judgment of Sir Mervyn Davies:

Associated Newspapers plc v. Insert Media Ltd. and Others [1990] 1 W.L.R. 900 .
Bollinger (J.) SA and Others v. The Costa Brava Wine Co. Ltd. [1960] R.P.C. 16 and *[1961] R.P.C. 116* .
Bulmer (H.P.) Ltd. and Another v. Bollinger (J.) S.A. [1978] R.P.C. 79 .
Comet B.V. v. Produktschap voor Siergewassen (No. 45/76)[1976] E.C.R. 2043 .
Guccio Gucci Sp. A. v. Paolo Gucci [1991] F.S.R. 89 .
North Cheshire and Manchester Brewery Co. Ltd. v. Manchester Brewery Co. Ltd. [1899] A.C. 83 .
Payton & Co. Ltd. v. Snelling Lampard & Co. Ltd. [1901] A.C. 308 .
Reddaway v. Banham (1895) 12 R.P.C. 83 .
Sodastream Ltd. v. Thorn Cascade Ltd. [1982] R.P.C. 459 .
Stringfellow and Another v. McCain Foods (G. B.) Ltd. and Another [1984] R.P.C. 501 .
Wineworths Group Ltd. v. C.I.V.C. [1992] 2 N.Z.L.R. 327 .

The following cases were referred to in the Court of Appeal:

Bollinger SA v. Costa Brava Wine Co. Ltd. [1959] R.P.C. 150 ; *[1960] Ch. 262* .

Bollinger SA v. Costa Brava Wine Co. Ltd. (No. 2)[1961] 1 W.L.R. 277 ; [1959] R.P.C. 289 .
Bulmer (H.P.) Ltd. and Another v. Bollinger (J.) SA [1978] R.P.C. 79 .
Burberrys v. Cording (1909) 26 R.P.C. 693 .
C.I.R. v. Muller & Co.'s Margarine Ltd. [1901] A.C. 217 .
C.I.V.C. v. Wineworths Group Ltd. [1991] 2 N.Z.L.R. 432 .
Deutsche Milchkontor v. Germany [1983] E.C.R. 2633 ; [1984] 3 C.M.L.R. 586 .
Guccio Gucci SpA v. Paolo Gucci [1991] F.S.R. 89 .
Reckitt & Colman Properties Ltd. v. Borden Inc. [1990] 1 W.L.R. 491; [1990] R.P.C. 341 ; [1988] F.S.R. 601 .
Singer Manufacturing Co. v. Loog [1882] 8 App. Cas. 15 .
Sodastream Ltd. v. Thorn Cascade Ltd. [1982] R.P.C. 459 .
Spalding (A.G.) & Bros. v. A.W. Gamage Ltd. (1915) 32 R.P.C. 273; [1915] 84 L.J. Ch. 449 .
Stringfellow v. McCain Foods (G.B.) Ltd. [1984] R.P.C. 501; [1984] F.S.R. 199 .
Vine Products Ltd. v. Mackenzie & Co. Ltd. [1969] R.P.C. 1 .
Warnink (E.) v. Townend & Sons (Hull) [1979] A.C. 731; [1980] R.P.C. 31; [1979] F.S.R. 397 .
Wineworths Group Ltd. v. C.I.V.C. [1992] 2 N.Z.L.R. 327 .

Representation

Charles Sparrow, Q.C. and Nicolas Bragge , instructed by Monier-Williams , appeared for the plaintiffs. Stuart Isaacs, Q.C. and Neil Calver , instructed by Batten & Co. , appeared for the defendants. ***644***

SIR MERVYN DAVIES:

This is a passing off action concerning champagne. The writ was issued on 17 February 1992. The statement of claim was served on 20 March 1992. A defence was served on 22 April 1992. The writ was amended by order on 11 June 1992. There are three plaintiffs. They are (1) Taittinger, (2) Comité Interprofessionnelle du Vin de Champagne ("C.I.V.C.") and (3) Institute National des Appellations d'Origine ("1.N.A.O."). The first plaintiff is a corporation established according to the laws of France. It is a producer of champagne and ships much of its product to England. The second plaintiff is a body established with legal personality under the laws of France. Among its purposes are those of defending the interests of persons involved in the production of wines sold under the appellation d'origine Champagne , with powers to sue and be sued. The third plaintiff also has legal personality under the laws of France with powers to sue and be sued. Its powers include the regulating of the production of wines and other products entitled to use French appellations d'origine and of defending such appellations . There are two defendants. The one is Allbev Limited and the other a partnership between Dr. and Mrs. G. J. C. Woodall trading as Thorncroft Vineyard. The first defendant is a producer and wholesaler of beverages in the way of fruit wines and cordials. Predominantly it produces traditional non-alcoholic drinks rather than wines but there is some production of wine as well. The second defendant advertises, markets, distributes and sells by wholesale the products provided by the first defendant, including a product sold as "Elderflower Champagne."

In the writ the plaintiffs claim:

> (1) An injunction to restrain the defendants and each of them from
>
> (I) selling, offering for sale, distributing and/or describing and whether in advertisement or on labels any beverage not being wine coming from the Champagne district of France under or by reference to the words Champagne or Champagna or either of them;
> (ii) in any other manner passing off and alternatively enabling others to pass off any beverage not being wine coming from the Champagne district of France as Champagne or as a beverage the same as Champagne.
>
> (2) An injunction to restrain the defendants from acting contrary to Council Regulations of the European Communities and in particular Regulation 823/87 by using the word Champagne for the description and presentation of a beverage other than wine produced in a Champagne district of France and/or by in any other manner using the word Champagne where there is a risk of confusion as to the nature, origin or source and composition of any beverage;
>
> . . .
>
> (4) A declaration that the production and marketing of Elderflower Champagne contravenes EC. Regulations directly applicable in England and in particular Regulation 823/87 as amended.
>
> (5) Damages for passing off.

The word champagne is distinctive exclusively of a sparkling wine that is produced in the Champagne district of France as shown on a map that was ***645** produced. It is admitted that a valuable reputation and goodwill has been built up in the name Champagne, such goodwill being part of the trading assets of the first plaintiff and those represented by the first plaintiff. Against that background the plaintiffs complain of the sale by the defendants of a beverage sold as "Elderflower Champagne." On 15 April 1992 Mr. Robert Reid, QC, sitting as a deputy high court judge, heard an application for interlocutory relief. The balance of convenience was found to be with the plaintiffs. [2] In consequence the defendants gave undertakings pending trial that were acceptable to the plaintiffs. There was some discussion as to the rights of the second and third plaintiffs to sue. But it is accepted that the first plaintiff had a right to sue. In the event, no objection was taken as to the constitution of the action.

In about October 1992, the defendants launched their product labelled "Elderflower Champagne." I have seen a bottle of this Elderflower Champagne. The bottle is of the size, colour and shape usually associated with champagne; although of a somewhat thinner glass. There is a front label headed "Thorncroft" on a gold background. Below that there is a white background with the word "Traditional" written in small printed capitals in a semi-circle around a representation of a half rising sun. Below that there is the most prominent lettering on the label. That is the word "Elderflower" in a semi-cursive lettering that is plain and easy to read. Below that, in conventional printing but in smaller letters—but easily readable at a distance of four or five feet—is the word "Champagne." Below that again in yet smaller print are the words "The Natural Non-Alcoholic Sparkling Refreshment." There is then a back label with newspaper size printing, which reads:

> Elderflower Champagne is a delightfully refreshing traditional drink with a provenance dating back to the middle ages. The distinctive flavour of fresh elderflowers, reminiscent of lychees and muscat grapes, imparts to it a length and body more commonly found in wine than in a soft drink. Elderflowers also have a reputation for warding off colds and flu, and for cooling and cleansing the system. Serve chilled, and refrigerate after opening.
>
> Ingredients: Carbonated Hampshire Spring Water, Cane Sugar, Fresh Elderflowers, Lemons, Citric Acid.
>
> Made and bottled by Thorncroft Vineyard Ltd., Highlands Farm, Leatherhead, Surrey KT22 8QE.

This back label bears a price sticker of £2.45. The bottle is corked with a mushroom type cork reminiscent of the usual champagne cork and as well the cork bears the wiring and metal top usually seen on bottles of champagne.

Several witnesses were called for the plaintiffs but the defendants called only Dr. Woodall. The first witness was M. Claude Taittinger, the President-Directeur General of the Taittinger Champagne House. He drew attention to the *Spanish Champagne* case, (*Bollinger J. and Others v. Costa Brava* ****646*** *Wine Company Ltd. [1960] R.P.C. 16* and *[1961] R.P.C. 116*) stating that the name "Champagne" can only refer to wine from the Champagne district of France. The champagne producers are, of course, anxious to ensure that the name Champagne is not demeaned by any abuse of the name. He said that there could be no such thing as "Elderflower Champagne" since that expression meant "champagne made from elderflowers," which was a contradiction in terms. Referring to the defendants' label he said it was false in its reference to champagne. M. André Enders is the director of the second plaintiffs, C.I.V.C. at Epernay. C.I.V.C. is an organisation which, additional to those purposes I have already referred to, organises, controls and directs the production and distribution of the wines produced within the limits of the Champagne district. It appears that all the wine growers of the Champagne area—about 15,000—are required by law to subscribe to C.I.V.C. As is to be expected, C.I.V.C. places a very high value on the protection of the name Champagne and M. Enders gave some particulars of the steps taken worldwide to protect the exclusive use of the word champagne. As well as activities in this regard in Canada, Australia, India, Germany etc. M. Enders it missed no less than 64 instances of steps taken in England since 1960 to ensure that the use of the name Champagne was not abused. As well as complaints against the more humble there were complaints against larger organisations such as Augustus Barnett, Cunard, Sainsbury, British Airways and American Express. M. Enders explained that the third plaintiffs, I.N.A.O., is the body that superintends, as I have said, the operation of the *Appellations Controlées* system in France and abroad. He explained the locality of the Champagne area and gave some details of the standards imposed on those who produce wine in that area. At the end of his witness statement, M. Enders says:

> 35. The abuse of the defendants in this case is of course not subtle nor hard to discern. They simply and blatantly call their product "Champagne," and dress it in a Champagne bottle with a wired mushroom cork. Their marketing is disingenuous, even on their own publicity: they claim that Elderflower Champagne is a traditional English drink and talk of "Granny's recipe" for it. But they make their product from cordial and carbonated water, not from "Granny's recipe." They claim that by so doing, they avert the risk of bottles exploding, as can happen with fermented products from time to time; so one is driven to ask why they need a wired cork, if not to filch some more of the "Champagne image," and thus reinforce the clear statement on the label that it is Champagne.

Mr. Anthony William Gunn was a witness. He is the managing director of Pol Roger Limited. That company is the English distributor of the Champagne House, Champagne Pol Roger. He is a master of wine with long experience in the wine trade. He referred to the rigorous controls imposed on champagne producers with the view to maintaining the high quality of the wine produced in the Champagne District. There was reference to some words of Danckwerts J. in the *Spanish Champagne* case, in this way:

> [Champagne] is and has for a long time been known to the trade and the public ***647*** in the United Kingdom as "Champagne," and as such has acquired a high reputation . . . In particular, . . . Champagne is a wine specially associated with occasions of celebration so that (in addition to sales to persons who regularly buy wine) it is purchased on such occasions from time to time by many persons who are not in the habit of buying wine for consumption and are not educated in the nature or qualities of different kinds of wine.

Mr. Gunn said that his trade knowledge enabled him to say that that finding of fact is as true today as it was when it was made, especially the last remarks concerning the public's knowledge of wines. He said that if anything those remarks were even truer today than formerly because sales of wine have increased and the number and range of customers has widened enormously, that fact resulting from the change in the wine trade retail structure which is now dominated by the major supermarkets. The public, he said, knows the name and reputation of champagne. Mr. Gunn's belief is that the use of the term "champagne" on any beverage other than champagne without quotation marks will confuse the less knowledgeable members of the public. When the beverage is in a green glass champagne bottle with a wired cork and sold alongside wines, including cheap sparkling wines at a comparable price, the likelihood of confusion is, he says, increased. He said that the fact that the word "Champagne" is qualified by the word "Elderflower" and that the drink is non-alcoholic, does not correct the confusion in that the nature of the confusion is not that the consumer believes Elderflower Champagne to be a sparkling wine made in the Champagne district of France, but that it is a kind of champagne, so that "champagne" is a category that includes both the French and the elderflower products. Bearing in mind that Elderflower Champagne sells at £2.45 a bottle, Mr. Gunn said that as to price there are many products sold in 75 cl. champagne bottles with wired cork or foil in the £2–£3 band. In his witness statement, he says:

> For example, in a typical Safeway supermarket display, the shelf heading "Sparkling Wine" appeared over a section of shelving with some two dozen products all got up in this way; this includes eight Champagnes, and 11 sparkling wines variously from France, Spain, Germany, Italy and Australia as well as Petillant de Listel (low alcohol) at £2.09; Harvest Cellars Bucks Fizz and Harvest Cellars Peach at £2.19; and Sparkling Blackcurrant and Sparkling Strawberry (both non alcoholic) at £1.99. A

> sparkling Elderflower would fit well in such company, and if it were labelled “Elderflower Champagne,” then confusion is inevitable.

Turning to the suggestion that the defendants' “Elderflower Champagne” is much the same as a country made drink of times long ago, Mr. Gunn said that any old traditional elderflower champagne was a natural fermented product and not an unfermented product as now produced by the defendants. Mr. Gunn said that the defendants' trade is not confined to health food stores. By reference to a customer dispatch list of the defendants he mentioned 19 or so recipients, including such firms as Adnams, Grants of St. James's, Greene King and Oddbins.

Mr. Michael Denis Campbell is the director of buying for Thresher, now the largest drinks retailing chain in the United Kingdom. Mr. Campbell ***648** agreed with Mr. Gunn's views on the words of Danckwerts J. quoted above. In his view, it would not surprise a less knowledgeable customer, who had become accustomed to non-alcoholic wine, to find a non-alcoholic champagne on sale. There would be nothing, he said, in the lack of alcohol which would tell the consumer that it was not champagne but some other drink. In such case confusion would be inevitable.

Mr. Julian Hardy Brind is the central buyer for wines at Waitrose, the supermarket division of the John Lewis Partnership. He is a master of wine. Mr. Brind's belief is that the educated members of the public are well aware of the distinctive geographical meaning of the name Champagne, but that there is a substantial body of customers who are unaware of that meaning. He said that the vast majority of consumers will be aware of a well-known sparkling beverage that carries the name Champagne, and that it has a great reputation, especially for celebrations, but they will know little more than that. Referring to the defendants' label, Mr. Brind said that the label was explicit in saying that the product was champagne but the smaller print was unlikely, in his experience, to be read by more than a tiny proportion of customers shopping in a self-service store. This smaller description is “The Natural Non-Alcoholic Sparkling Refreshment.” Mr. Brind said that all those words save “Non-Alcoholic” apply equally to champagne. He was of the view, given the growing fashion for non-alcoholic wine and beer, that that was insufficient to tell a consumer—even if it were read by him—that the product is not in truth champagne. His view was that the label clearly tells the potential purchaser the product is champagne.

Miss Penelope Jane Annand is the head of the Markets Department of the National Federation of Women's Institutes. Miss Annand produced a W.I. handbook called Home-made Wines Cordials & Spirits by Dr. F.E. Beech , first published in 1954 with a revised edition in 1988. In the 1954 edition there is a recipe for “elderflower champagne” but in the current edition this elderflower champagne is named “Elderflower Wine 3.” The recipe for that wine shows that it is a fermented drink. Miss Annand says that the defendants' product appears to be made quite differently from the W.I. recipe referred to at page 109 of the current edition of Dr. Beech's book.

I now come to the defendants' evidence. It was given by Dr. Woodall. He was born in 1954 and is a Ph.D. of Edinburgh University. At the age of 29 he intended to farm his family farm in Surrey. In 1986 he planted 3.3 acres of grapevines and attended wine-making courses. Then he turned to producing other drinks. He remembered his grandmother making elderflower cordial and decided to produce that on a commercial scale. The defendant company was formed to produce the cordial and the defendant partnership to sell it to retailers. The elderflower cordial venture was successful and other "hedgerow" products were made, such as sloe gin and rosehip cordial. The aim was to revive traditional drinks. There was a further expansion of the range in 1989 in that the defendants began to produce elderflower champagne. Dr. Woodall said he knew of elderflower champagne from recipe books as well as from his grandmother's activities. The drink is made from elderflowers, water, sugar, lemons and citric acid or vinegar. Dr. *649 Woodall produces some recipes and articles which refer to elderflower champagne. The oldest of the publications was 1949 but no doubt those publications may have been recording recipes known long before 1949. Home-made elderflower champagne is made by putting the ingredients in a jug, pouring on water and leaving for 24 hours. Then the liquid is bottled and kept for two weeks; fermentation occurs. Unfortunately, the bottles are prone to explode. That consideration has hindered the commercial exploitation of the drink. Dr. Woodall has, however, been able to overcome that difficulty. He has taken advantage of an old device of carbonating with gas instead of relying on fermentation to produce a fizz. As well as carbonating a suitable flavouring is added. Thus, said Dr. Woodall, Thorncroft's elderflower champagne contains the same ingredients as the traditional recipes; but there are modifications in that citric acid is now always used instead of vinegar or citric acid, and any yeast is removed by microfiltration (so that no alcohol is produced). Gas is added later by carbonation. The plaintiffs contend that the defendants' product is not elderflower champagne because it does not conform to the old recipes. I do not accept that. I am satisfied that the defendants product may be regarded as a modern type of elderflower champagne produced commercially. Marketing began and it did so in the belief that people are familiar with the hedgerow drink known as "elderflower champagne." At the same time, said Dr. Woodall, he knew that part of the public would not have heard of elderflower champagne so that it was important not to confuse elderflower champagne with champagne. Not only did he not wish to tarnish, or profit from, the reputation of champagne but also he wanted to consolidate Thorncroft's position in the market for natural "hedgerow" products which were healthy and non-alcoholic. Dr. Woodall then explained the steps he took to ensure that the public would not suppose that his elderflower champagne was anything other than a natural non-alcoholic drink. Referring to the labels on a bottle of elderflower champagne he drew attention to the following:

(I) the word "Elderflower" is in very large letters and the word "Champagne" is in smaller letters beneath it;
(ii) the front label is marked "The Natural Non-Alcoholic Sparkling Refreshment";
(iii) on the back label there is a short history of the drink as a "soft drink";

(iv) the ingredients are listed as being carbonated Hampshire spring water, etc.;
(v) the back label shows that the drink comes from Thorncroft Vineyard in Surrey;
(vi) there is not on the bottle the foil around the cork that usually appears on a champagne bottle, nor is there any neck label.

When Elderflower Champagne went on sale in 1991 it retailed at £2.45 a bottle with 95p for a small 25 cl. bottle. I was referred to some documents produced on discovery. They included some correspondence between the defendants and a firm of design consultants. In the context of the correspondence I do not think that any particular conclusions can be drawn save to say that the defendants appreciated that problems might arise if they ***650** used the word“Champagne”—see the reference to a “Big issue to discuss with you regarding the name 'Champagne'.”

At the outset, Mr. Isaacs for the defendants said he objected to parts of the plaintiffs' witness statements, that is to say those parts which consisted of statements of law or submissions of law, and most particularly to those parts where a witness expressed an opinion as to the likelihood of confusion arising from the defendants' use of the words “Elderflower Champagne.” However, it was agreed that the whole of the witness statements should be read. Later Mr. Isaacs itemised what he said were their objectionable parts. I have disregarded those parts which consist of statements or submissions of law. As to the parts which speak of the likelihood of confusion the position is not clear. *Payton v. Snelling [1901] A.C. 308* shows at page 309 that questions as to confusion, or being deceived, are the province of the judge alone. See also *North Cheshire and Manchester Brewery Company v. Manchester Brewery Company [1899] A.C. 83 at page 89* , *Associated Newspapers plc v. Insert Media Ltd. [1990] 1 W.L.R. 900 at 903B* and Kerly (12th ed.), para. 17–25 and 17–28 . On the other hand, in *Sodastream Limited v. Thorn Cascade Limited [1982] R.P.C. 459* , Kerr L.J. at page 468, says:

> The learned judge criticised all this evidence very severely on a number of grounds, although it was virtually uncontradicted. First, he regarded much of the evidence as inadmissible, because the deponents, and the persons who were questioned by the deponents, expressed opinions as to what would be thought or done by other members of the staff, and to some extent by customers. When I first read these criticisms in the judgment. I was very surprised. It seemed to me, and still seems to me, that it is perfectly proper and admissible for someone in the trade to express opinions about the likely reaction of others in relation to matters which are within his or her sphere of work; indeed, it is part of their responsibility to form a view on such matters.

> In particular it seems to me that this kind of evidence must be admissible in affidavits interlocutory proceedings, although at the trial the witnesses will of course be cross-examined about the opinions expressed by them.

See also *Gucci v. Gucci [1991] F.S.R. 89 at page 91* , and the Supreme Court Practice 1993 at pages 675 and 646.

In this situation, in considering the question whether or not the defendants' activities are likely to deceive or confuse, I have relied entirely on my own judgment. But it so happens that had I allowed myself to take account of anything in the evidence that bears on the question, then my conclusion would have been the same.

I approach the plaintiffs' passing off claim with the guidance given in the *Advocaat case, E. Warnink v. Townend & Sons (Hull) Ltd. [1979] A.C. 731* . At page 742, Lord Diplock says:

> My Lords, *A.G. Spalding & Bros. v. A.W. Gamage Ltd. 84 L.J. Ch. 449* and the later cases make it possible to identify five characteristics which must be present in order to create a valid cause of action for passing off: (1) a misrepresentation (2) made by a trader in the course of trade, (3) to prospective customers of his or ultimate consumers of goods or services supplied by him, (4) which is calculated ***651** to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence) and (5) which causes actual damage to a business or goodwill of the trader by whom the action is brought or (in a *quia timet* action) will probably do so.

In *Stringfellow v. McCain Foods (G.B.) Limited [1984] R.P.C. 501* , Slade L.J. said at page 533:

> In view of Lord Diplock's warning (*ibid* . at page 742) as to the "illogical fallacy of the undistributed middle," I think it preferable to express the proposition the other way round, namely that unless the case fails within these five principles, the plaintiffs, on whom the burden of proof must lie, cannot succeed in these proceedings.

At page 535, the learned Lord Justice said:

> Reverting to Lord Diplock's list of the five essential characteristics of the tort, I think that the crucial questions in the present case are (1) whether McCain can be said to have been guilty of any misrepresentation and (2) if so, whether it is a reasonably foreseeable consequence of such misrepresentation that it will cause actual damage to the plaintiffs' business or goodwill.

I think these same two questions are by far the most important in the present case. As to (1) in the *Advocaat* case, the misrepresentations of which the plaintiffs complain are pleaded thus in paragraph 14 of the amended statement of claim:

> 14. Further and/or in the alternative the said label and presentation of the defendants' said product is likely to deceive the public into believing that the said product is Champagne or is the same as Champagne or is a beverage which has some association with Champagne, or is in some other way entitled to the goodwill invested in the name Champagne.

From that basis Mr. Sparrow for the plaintiffs contended that the defendants, in selling their Elderflower Champagne, were making a representation that Elderflower Champagne is of the same type as the plaintiffs' goods, *i.e.* Champagne. Furthermore, that the selling of Elderflower Champagne indicated some connection between the defendants' business and the plaintiffs' business. No doubt those suggested misrepresentations may form the basis of a passing off action. Accordingly, I must take account of the considerations which are said to justify, or not to justify, a finding of misrepresentation. Some of the considerations in favour of a finding of misrepresentations are:

> (a) the defendants' product is sold in a bottle that looks much like the usual Champagne bottle.

(b) The front label on the bottle states explicitly that what is in the bottle is "Champagne" because that word is separately printed below the differently printed word "Elderflower."

(c) "Champagne" is printed and placed on the label just as the word Champagne appears on many of the Champagne bottles shown to me.

(d) The defendants' product is sold not only in health shops but also elsewhere, *e.g.* Sainsbury's. It is described in a "Tent Card" as a "wine-like soft drink." ***652**

(e) The defendants' claim to be selling an old English drink known for many years as elderflower champagne is said not to be justified because the old recipes for elderflower champagne show a fermented beverage whereas that of the defendants is carbonated.

The defendants point to the following matter as indicating that there has been no material misrepresentation:

(f) To see a bottle sold as elderflower champagne is to see a bottle of a well-known traditional English drink. An affidavit filed for the plaintiffs in the interlocutory proceedings states— "there has been for many years existed a 'cottage recipe' beverage known in the vernacular as elderflower champagne." My view is that no doubt there are some in country parts who know of elderflower champagne as an old English beverage; but their number must be few as opposed to the many who must know of elderberry wine.

(g) The defendants have not received any complaints from the public to the effect that a buyer of Elderflower Champagne supposed that he was buying champagne.

(h) The front label of the bottle states—albeit in small capitals—that the bottle contains "Natural Non-Alcoholic Sparkling Refreshment."

Balancing those considerations, it is my clear view that the labelling of the defendants' product constitutes a misrepresentation in that the label indicates that the bottle contains a champagne that is being sold under the name "Elderflower." In this regard no great importance is to be attached to the label on the back of the bottle. See Kerly (12th ed.), para. 16–70. Thus the first of the characteristics referred to by Lord Diplock is established and I think that there is no difficulty in regarding characteristics (2) and (3) as also being present. Accordingly, one goes on to (4) to consider whether or not the misrepresentation is calculated to injure the business or goodwill of the Champagne Houses (in the sense that this is a reasonably foreseeable consequence).

In considering whether or not the misrepresentation is "calculated to injure, etc." it is clear that it is not necessary to find any intent to injure. See Kerly (12th ed.) paragraph 16–16. One simply considers whether as a result of an alleged misrepresentation injury will arise. However, it may be material to consider intent because when a man intends to injure or deceive the court will, in the circumstances of a passing off action, readily assume that he has succeeded and has caused damage. See the words of Lord Esher M.R. in *Reddaway v. Banham (1895) R.P.C. 83 at page 89* :

> When once you establish the intent to deceive, it is only a short step to proving that the intent has been successful, but still it is a step, even though it be a short step.

In these circumstances, I need to consider first whether or not the Woodall misrepresentation is calculated to injure and then to consider whether or not any intent bears on the question. In approaching this aspect of the case, Mr. Isaacs submitted that the misrepresentation must be material, that is to say it must be calculated or likely to deceive the wine-buying public. This is not to ***653** adopt precisely the words of Lord Diplock but the submission receives support from some words of Buckley L.J. in *H.P. Bulmer Limited v. Bollinger S.A. [1978] R.P.C. 79 at 103* :

> I must first consider whether the evidence supports the view that the use by the appellants of the name "Babycham Champagne Perry" is likely to deceive the public into believing that the appellants' product is a product of the Champagne Houses or any of them, or to lead to confusion amongst the public as to whether there is any relevant kind of association between the appellants and their product and the Champagne Houses or any of them.

See also Goff L.J. in the same case at page 113. The submission leads one to consider on the footing that there is (as I have held) a misrepresentation, whether it is a misrepresentation which leads to the public buying the defendants' goods in the belief that they are the plaintiffs' goods; or causes the public to be confused as to the nature of the defendants' goods. This is a question that was considered in the *Spanish Champagne* case, *Bollinger (J.) S.A. and Others v. The Costa Brava Wine Co. Ltd. [1961] R.P.C. 116* . At page 126, Danckwerts J. said:

> I have now to consider whether the defendants' methods of advertising and selling their wine, which is not Champagne, is calculated to deceive the public or a substantial part thereof into thinking that it is Champagne.
>
> For reasons to which I have already referred, experts and many educated persons, and most persons engaged in the trade, and no doubt wine waiters and the like, know what Champagne should be, and will not be deceived by the defendants' misdescription of their merchandise. It is not very easy to ascertain the amount of knowledge in regard to the nature of wines and their origin among other classes of persons who have perhaps no particular reason to know about such matters but have almost certainly heard of Champagne as being the wine drunk at the gayest of parties and in distinguished circles and on occasions such as weddings and other celebrations. I must not base myself on my own speculations, but must be guided by the evidence which has been given before me.

Later on, the learned judge said, at page 127:

> There is thus, in my view, a considerable body of evidence that persons whose life or education has not taught them much about the nature and production of wine, but who from time to time want to purchase Champagne, as the wine with the great reputation, are likely to be misled by the description "Spanish Champagne."

By analogy I must in the present case consider whether there are now some of the public who are likely to be misled by a marketing of the defendants' Elderflower Champagne. The "considerable body of evidence" referred to in the words quoted above is summarised at pages 125–127 of the *Spanish Champagne* case. The evidence was regarded as admissible and helpful. In this case, there is comparable evidence by Mr. Gunn, Mr. Campbell and Mr. Brind. This evidence is part of the evidence to which Mr. Isaacs took (as I ***654*** have said) objection. It is evidence which of course goes to show that the defendants' misrepresentation is calculated to deceive, that is to say is likely to lead the public, or a part of the public, into buying the defendants' merchandise in the belief that it is champagne. But if the evidence is put aside, so that I am obliged to use my own judgment in the matter, I come to the same conclusion as the witnesses. I say that for the following reasons. The great majority of the wine buying public knows that champagne is an expensive wine. The average man seeing a bottle of Elderflower Champagne would see the word"Champagne" conventionally printed according to the custom of the champagne trade. He would then see a price of £2.45. That would cause him to examine the bottle more closely. I am satisfied that any ensuing inspection of the labels on the bottle would dispel any initial belief that the bottle contained "Champagne" as that word is generally understood. However that may be, I speak of the average member of the public, whether educated or uneducated in the matter of wine. But there is another section of the public. There is the simple unworldly man who has in mind a family celebration and knows that champagne is drunk for celebrations. He may know nothing of elderflower champagne as an old cottage drink. Seeing"Elderflower" on a label with below the word "Champagne" he may well suppose that he is seeing champagne. Since the simple man I have in mind will know little of champagne prices, he is likely to suppose that he has found champagne at a price of £2.45. I do not mean that I now refer to any majority part of the public or even to any very substantial section of the public, but to my mind there must be many members of the public who would suppose that the defendants' "Elderflower" is champagne. Thus it is that I find it established that the defendants' misrepresentation is a misrepresentation that is calculated to deceive.

I have come to the above conclusion without considering whether or not the defendants intended to deceive. In fairness I must, however, say that I do not think that the defendants intended to deceive or to "ride on the back" of the goodwill possessed by the Champagne Houses. I at first supposed, having seen only the bottle with its label, etc., that here was a plain case of defendants seeking to take advantage of the reputation of others. Mr. Sparrow put forward some forceful and persuasive reasons in support of that view. For example, he said (I) that the Woodall Elderflower Champagne is not the same as that beverage as described in such cottage recipes as have been produced; (ii) that the defendants had adopted the conventional champagne bottle and label; (iii) that the defendants had at one time made use of the word "Champagna" for their product. All this is disturbing. However. I saw Dr. Woodall in the witness box. He is highly educated but he was by no means fluent in his answers. Yet he struck me as honest and genuine in his desire to establish at his farm a trade in old English beverages. He was anxious to market Elderflower Champagne as one of the old English drinks. He realised that there were difficulties in the way of using the word "Champagne." He could, I think, have been better advised by the technical men that he consulted. He should not have printed "Elderflower" in one print with "Champagne" in another. His get-up constitutes such a ***655** misrepresentation as I have mentioned. Yet at the end of the day, despite some lingering doubts, I do not find that Dr. Woodall adopted his get-up with the intention of causing the public to believe that what he is selling is champagne. However, as I have indicated, this finding is of no service to the defendants as respects (1) to (4) of the *Advocaat* characteristics because intent is not a necessary ingredient of the tort of passing off.

Since I find that there has been a material misrepresentation, I move on to items (4) and (5) as mentioned by Lord Diplock. This means, in the words of Slade L.J. that I have quoted, that one must consider whether it is a reasonably foreseeable consequence of such misrepresentation that it will cause actual damage to the plaintiffs' business or goodwill. Mr. Sparrow said that there is a risk of confusion between the plaintiffs' goods and the defendants' goods. I think, as I have said, that that is so as respects a small section of the public. In consequence, said Mr. Sparrow, there is a risk of direct damage by way of loss of sales. However there was, as might be expected, no evidence of loss of sales by the plaintiffs. Mr. Sparrow also spoke of a risk of confusion between the business of the plaintiffs on the one hand and the defendants on the other. While I think that there may be confusion as between the goods of the parties I do not find it realistic to suppose that there is any likelihood of confusion as between the parties' businesses. There is then a further source of damage. It is said that if the defendants continue to market their product then there will take place a blurring or erosion of the uniqueness that now attends the word "champagne," so that the exclusive reputation of the Champagne Houses will be debased. In this connection I was referred to *Wineworths v. C.I.V.C. [1992] 2 N.Z.L.R. 327 at 343* , where Gault J. says:

> I have no doubt that erosion of the distinctiveness of a name or mark is a form of damage to the goodwill of the business with which the name is connected.

In the *Spanish Champagne* case there is no express discussion as to damage but the learned Judge was satisfied that there was "dishonest trading," and that on a substantial commercial scale. Thus it may clearly be inferred that he was satisfied as to damage being suffered by the plaintiffs. I turn to the speech of Lord Fraser of Tullybelton in the *Advocaat* case at pages 755 and 756. The noble Lord specifies the fifth element of a passing off action as being that:

> [The plaintiff] has suffered, or is really likely to suffer, substantial damage to his property in the goodwill by reason of the defendants selling goods which are falsely described by the trade name to which the goodwill is attached.

In the same case Lord Diplock speaks of "actual damage." In *Reckitt & Colman Products Limited v. Borden Inc. [1990] 1 W.L.R. 491* , Lord Oliver of Aylmerton said, at page 499, as to what is to be provided in a passing off case:

> Thirdly, he must demonstrate that he suffers or, in a *quia timet* action, that he ***656** is likely to suffer damage by reason of the erroneous belief engendered by the defendant's misrepresentation that the source of the

> defendant's goods or services is the same as the source of those offered by the plaintiff.

There are then the words of Stephenson L.J. in the *Stringfellow* case, at page 547, albeit the facts of that case were special.

In the present case there is no specific evidence of damage done to the reputation or goodwill of the Champagne Houses. This should occasion no surprise because in most passing off cases the fact of substantial damage is readily inferred from there being serious competition between the parties. It can hardly be said that there is serious competition in the present case. But the fear is here that the reputation of and the esteem in the word "champagne" will be debased if Elderflower Champagne is allowed on the market. Lord Fraser uses the words "really likely" and "substantial." So the question is whether or not it is really likely that the Champagne Houses' valuable goodwill in the name Champagne will be substantially affected if the defendants continue to sell their Elderflower Champagne. My answer to that question is in the negative. The effect on the plaintiffs' reputation will in my view be nil or minimal. I say that because those who buy Elderflower Champagne in the belief that it is champagne make up the very small section of the public that I have referred to above; and that consideration is coupled with the fact that the defendants' activities are on a small scale (as compared with those represented by the plaintiffs). Furthermore, there was no indication of any likely large scale enlargement of the defendants' operation. Since the plaintiffs do not establish a likelihood of substantial damage the passing off claim fails.

The plaintiffs claim an injunction not only by reference to the English law of passing off but also by reference to European law. The amended Statement of Claim claims:

> (2) An injunction to restrain the defendants *and each of them* whether by themselves, their directors, officers, servants or agents or otherwise howsoever from acting contrary to Council Regulations of the European Communities and in particular Regulation 823/87 by using the word Champagne for the description and presentation of a beverage other than wine produced in the Champagne District of France and/or by in any other manner using the word Champagne where there is a risk of confusion as to the nature, origin or source and composition of any beverage;
>
> . . . .
>
> (4) A declaration that the production and marketing by the Defendants *and each of them* of Elderflower Champagne contravenes EC. Regulations

> directly applicable in England and in particular Regulation 823/87 as amended.

I was referred to Regulation 823/87 of 16 March 1987. According to its heading the Regulation lays down “special provisions relating to quality wines produced in specified regions.” This 1987 Regulation has been amended by Regulation 2032/89 of 19 June 1989 and again by Regulation 3896/91 of 16 December 1991 . I was referred in particular to the following ***657** parts of the Regulations (but I emphasise that such parts are better understood when read in the context of the Regulations as a whole):

The 1987 Regulation recitals 17, 19 and 20 state:

> 17. Whereas, in order [to] protect producers from unfair competition and consumers from error and fraud, the terms “quality wine produced in a specified region” should be reserved for wines which comply with Community provisions, although the use of traditional specific designations in accordance with the provisions of the producer Member States should be permitted; whereas a list of such traditional specific designations should be drawn up so that they are known in all Member States.
>
> 19. Whereas the marketing of beverages not covered by the wine sector and of certain basic raw materials used to produce those beverages under names normally used to designate wines is liable to mislead the consumer as to the nature and origin of the product thus described and to injure the interests of wine producers.
>
> 20. Whereas, with a view to informing consumers correctly and providing appropriate protection for the legitimate interests of wine producers, it is necessary to make explicit the prohibition on the—indirect—use of such names to describe an item falling within heading No. 22.07 of the Common Customs Tariff [such an item is a non-wine product] or an item marketed with clear instructions for the consumer to obtain from it a beverage in imitation of wine (home-made wine) and to permit direct or indirect use of such names for other beverages only where any risk of confusion as to the nature, origin, source or composition of the beverage in question is ruled out.

Article 15 of the 1987 Regulation, as amended by Article 13 of the 1989 Regulation provides *inter alia*) that:

> 1. The Community terms listed in the second sub-paragraph or the specific terms traditionally authorised, as provided for in paragraph 2 by the national legislation of the producer Member State, to designate particular wines may be used, respectively, only for the wines listed in Article 1(2). . . .
>
> 2. Without prejudice to any additional terms which may be allowed by Community and national laws and subject to national provisions on the wines in question being observed, the specific terms traditionally used which are referred to in the first sub-paragraph of paragraph 1 shall be the following: . . .
>
> (b) France: . . . “champagne” . . .
>
> 5. The following may be used for the description and presentation of a beverage other than a wine or grape must only if there is no risk of confusion as to the nature, origin or source and composition of such beverage:
>
> — the name of a specified region as referred to in Article 3 included in the list drawn up pursuant to Article 1(3) with respect to quality wines ps of the Community as constituted on 1 January 1981;
> — a traditional specific term referred to in paragraph 2.

By the 1991 Regulation the word “champagne” was removed from the list of specific terms referred to in Article 15(4) of the 1987 Regulation, but that ***658** removal is, as I understand, of no importance because champagne remains within the province of Article 15(5) of the 1987 Regulation as being the name of a “specified region.”

Out of the complicated verbiage of the Regulations there arises in this case the question whether or not Article 15(5) of the 1987 Regulation (as amended) allows of the use of the term “Elderflower Champagne” for the description and presentation of the defendants' goods, *i.e.* “a beverage other than a wine or grape must.” It is allowed— “only if there is no risk of confusion as to the nature, origin or source and composition of such beverage” [with champagne].

Mr. Sparrow submitted that there was plainly such a risk: see Article 15(5). Referring to recital 20, he said any risk at all must be ruled out. Mr. Isaacs submitted that there was no risk. However, on the footing that there is some slight risk, Mr. Isaacs advanced two other submissions. Mr. Isaac's first submission in this regard fastened on recital 20 in the 1987 Regulation. That shows, he said, that the 1987 Regulation (as amended) is intended to provide "appropriate protection for the legitimate interests of wine producers." I reject the next step in the argument which was that the plaintiffs have no legitimate interest within recital 20.

However, on the footing that there is a legitimate interest it was then said that it is a legitimate interest that does not require the protection of an injunction in that the plaintiffs have suffered no actionable damage. I see that it is arguable that an injunction ought not to go for a breach of Article 15(5) if what the defendants are doing causes no actionable damage to the plaintiffs. In this regard I add that reference was made to the Community law principle of proportionality; but that aspect was not fully developed. There is then the defendants' second submission on this topic.

The defendants' second submission as to the granting of an injunction in aid of a breach of Article 15(5) involved reference to two European Court authorities. In *Comet BV, case 45/76* , there are these words at pages 2043 and 2053:

> In the absence of any relevant Community rules, it is for the national legal order of each Member State to designate the competent courts and to lay down the procedural rules for proceedings designed to ensure the protection of the rights which individuals acquire through the direct effect of Community law, provided that such rules are not less favourable than those governing the same right of action on an internal matter.

In *Deutsche Milchkontor GmbH* , [3] *Joined cases 205 to 215/82* there is the following at page 2634:

> 2. According to the general principles on which the institutional system of the Community is based and which govern the relations between the Community and the Member States, it is for the Member States, by virtue of Article 5 of the Treaty to ensure that Community Regulations, particularly those concerning the common agricultural policy, are implemented within their territory. In so far as Community law, including its general principles, does not include ***659*** common rules to this effect, the national authorities when implementing Community Regulations act in accordance with the procedural and substantive rules of their own national law; however, this

> rule must be reconciled with the need to apply Community law uniformly so as to avoid unequal treatment of producers and traders.

No doubt the facts of those cases are far removed from the present case, but against the background of those words the submission was that in the present state of Community law (including the absence there of any guidance as to the implementation of Article 15(5)) it is for the English court, in this case, to act in accordance with English procedural and substantive rules when considering the protection of rights acquired by Community law—see the *Milchkontor* quotation above. That submission should, I think, distinguish between procedural rules (*Comet*) and substantive rules (*Milchkontor*). Taking *Comet* first, I do not think that the question whether or not an injunction should go by reason of a breach of Article 15(5) is a procedural matter. It is a matter of substantive law. However that may be in the *Milchkontor* case, one sees that when implementing Community Regulations (there being no "common rules" to which I have been directed) this court must act in accordance with the substantive rules of English law. To implement a breach of Article 15(5) in the English way is to consider whether or not, in the discretion of the court, there should be an injunction restraining the defendants from infringing Article 15(5). Since Community law, by referring me to English law, affords me that discretion, I exercise the discretion so as to keep the situation in Community law the same as it is in English law. Accordingly, I decline to afford any relief under Community law. It follows that the action is dismissed.

The plaintiffs appealed .

Representation

Charles Sparrow, Q.C. and Nicholas Bragge , instructed by Monier-Williams , appeared for the plaintiffs (appellants). Stuart Isaacs, Q.C. and Neil Calver , instructed by Batten & Co. , appeared for the defendants (respondents).

PETER GIBSON L.J.:

Elderflower Champagne is the name given by the defendants to a beverage which they first marketed in October 1991 and is now widely available from health food shops as well as from retail outlets from which both alcoholic and non-alcoholic drinks are sold, for example Sainsbury. The first defendant, Allbev Ltd., a producer and wholesaler of mainly non-alcoholic drinks but also of some wines, produces Elderflower Champagne and the second defendant, a partnership between Dr. Guy Woodall and his wife Mrs. Sheila Woodall trading as Thorncroft Vineyard, advertises, markets, distributes and sells it wholesale. It is sold in two sizes of bottle, of 75 cl. and 25 cl. Most of its sales are of the larger size bottle, the attractive get-up of which makes it look like a champagne bottle. But it is not a produce of the Champagne district of France; it is not made from the grape ***660*** and it is non-alcoholic. It is a drink made from elderflowers, sugar, citric acid and lemons to which carbonated water is added.

The use by the defendants of the word “champagne” came to the attention of the champagne producers of France. In the last three decades no group had been more vigorous than the champenois in asserting their rights. No less than sixty-four instances were given in evidence of steps taken in England since 1960 to ensure that the name of champagne is only used commercially to refer to wine from the Champagne district of France. In February 1992 proceedings were commenced, initially only by the first plaintiff, Taittinger, against Allbev Ltd. Taittinger, one of the great champagne houses, sues in a representative capacity for all who produce wine in Champagne and ship such wines to England and Wales. Subsequently the second and third plaintiffs were joined as plaintiffs and the partnership of Dr. and Mrs. Woodall as a defendant. The second plaintiff is Comité Interprofessionel du Vin de Champagne, a body established with legal personality under French law and having amongst its objects the defence of interests of persons involved in the production of wines sold under the Appellation d'Origine Champagne . The third plaintiff is Institut National des Appellations d'Origine, an organ of the French Government and having legal personality under French law. Its objects include the regulation of the production of wines entitled to the French Appellations d'Origine and the protection of users of those wines.

The plaintiffs sued both in passing off and in assertion of a right under Council Regulation 823/87 (as amended), laying down special provisions relating to quality wines produced in specified regions of the European Community. They sought permanent injunctions and also applied for an interlocutory injunction restraining the defendants from using the word “champagne” in relation to “Elderflower Champagne.” Mr. Robert Reid, Q.C., sitting as a deputy judge of the Chancery Division, on 15 April 1992 would have granted an injunction against passing off until trial but for an undertaking to the like effect being offered to the court and accepted. [4] The drink continued to be sold but without the word Champagne as part of its name on the label.

The trial of the action took place in January 1993 before Sir Mervyn Davies, sitting as a judge of the High Court. In a reserved judgment on 8 February 1993 he accepted the concession of the defendants that a valuable goodwill belonging to Taittinger and the champagne houses it represents had been built up in the name “champagne” and he held that there had been a misrepresentation by the defendants in their labelling of the bottles of Elderflower Champagne which was calculated to deceive. But he found that the plaintiffs failed to establish a likelihood of substantial damage and so he held that the claim in passing off failed. He also declined to exercise his discretion to afford any relief under Community law. Accordingly he dismissed the action and ordered an inquiry as to damages on the plaintiffs' ***661*** cross-undertaking in damages which they had been required to give when the defendants gave their undertaking to the court.

The plaintiffs now appeal. They say that they are entitled to permanent injunctions against the defendants both in passing off and in reliance of their right under Regulation 823/87. The defendants cross-appeal, claiming that there was no or no material misrepresentation by them and that in so far as the judge had held that they were in breach of the Regulation he was wrong in law; they also claim that an injunction would infringe the principle of proportionality.

The Facts

The word “champagne” is distinctive of a sparkling alcoholic wine produced in, and only in, Champagne. It is usually sold in a green 75cl. bottle with a dimpled bottom and a mushroom-shaped cork held down with wire, the cork and neck being covered in foil. The style of the label will vary from make to make but the label often shows the name of the champagne in a cursive script with the name “champagne” in block letters underneath. Champagne is a quality drink, associated in the minds of the public with celebratory occasions, and it retails in the United Kingdom from about £7. 50 upwards.

Elderflower Champagne retails at about £2.45 a 75cl. bottle. It is marketed, in that form, in a bottle of approximately the size, colour and shape usually associated with champagne, although the glass appears to be thinner and the defendants say that the bottle is purchased from a cider bottle manufacturer. It is corked with a mushroom-shaped cork, but unlike a champagne cork which has to be of a shape that requires compression to insert into the neck of the champagne bottle, the Elderflower Champagne cork is reusable. The cork is also wired, though unlike that for a champagne cork, the wire appears unnecessary for a bottle containing not fermented but carbonated liquid. At the time of the trial, save for bottles sold to Sainsbury, there was no foil over the wired cork and neck. For bottles sold to Sainsbury, at Sainsbury's request, foil covered the wired cork and neck, and the foil used by the defendants bore the emblem of a bunch of grapes on two sides of the neck and on the top but at a time when the word “Champagne” was deleted from the label. Since then foil without that emblem has been used on bottles sold to Sainsbury. There is a front label headed “Thorncroft” on a gold background. Below that there are various words printed on a white background. At the top there is the word “Traditional” in small print. Underneath there is the prominent word “Elderflower” in a large cursive script and beneath that in smaller but distinct block letters is the word “Champagne.” The word “Champagne” was deleted after Mr. Reid's ruling in April 1992 but after the trial “Champagne” has reappeared on the label but in a cursive script like “Elderflower.” Below that the words “The Natural Non Alcoholic Sparkling Refreshment” are printed in yet smaller print. Representations of small white flowers are shown on a green ***662*** background surrounding the white central area of the label. The back label reads:

> Elderflower Champagne is a delightfully refreshing traditional drink with a provenance dating back to the middle ages. The distinctive flavour of fresh elderflowers, reminiscent of lychees and muscat grapes, imparts to it a length and body more commonly found in wine than soft drinks. Elderflowers also have a reputation for warding off colds and flus, and

> for cooling and cleansing the system. Serve chilled and refrigerate after opening.

The ingredients (which I have already stated) are given and at the bottom of the label is “Thorncroft Vineyard” with its address. We have been told that the word “Vineyard” no longer appears on the bottle label. The 25cl. bottle has the same labels but a screw cap.

The suggestion that the defendants' “Elderflower Champagne” is a traditional drink with a provenance dating back to the middle ages seems to me on the evidence to be a creative interpretation of what was known to Dr. Woodall. Whilst there is a seventeenth century literary reference to an infusion of elderflowers in small ale, the earliest publication containing a recipe for homemade “elderflower champagne” that was produced in evidence was dated 1949; further the fizzy drink to which the published recipes refer depended on fermentation for its fizz, was mildly alcoholic and used white wine vinegar and no carbonated water. However the judge expressed himself satisfied that the defendants' product might be regarded as a modern type of “elderflower champagne” produced commercially. Certainly there is no evidence of any commercial sales of “elderflower champagne” until the defendants' product was marketed.

Dr. Woodall is the moving spirit among the defendants. He formed Allbey Ltd. to produce the elderflower cordial that he decided to produce first on a commercial scale. When that venture prospered, other “hedgerow” products were made and in 1989 he decided to expand the range of elderflower drinks to Elderflower Champagne. His evidence was that he knew of a drink called “elderflower champagne” from his grandmother and from recipe books and he was most keen to retain the traditional name, but he positively did not want people to believe that the product was alcoholic.

Winter months are not the best months for sales of a refreshing drink like Elderflower Champagne but nevertheless over 20,000 75cl. and over 12,000 25cl. bottles were sold from November 1991 to January 1992. In May, June and July 1992, although the word “Champagne” was deleted from the label in accordance with the undertaking to the court, sales averaged over 12,000 75cl. bottles a month. Sales then fell away, but rose sharply to nearly 24,000 75cl. bottles in February 1993, the month when the judge gave his judgment.

The judge heard evidence from a number of witnesses called on behalf of the plaintiffs, who were experienced in the wine trade. They included Mr. A.W. Gunn, the managing director of the English distributorship of the champagne house, Pol Roger. In his witness statement he referred to what Danckwerts J. said in *Bollinger v. Costa Brava Wine Co. Ltd. [1961] 1 W.L.R. 277 at 282* : ***663***

> [Champagne] is and has for a long time been known to the trade and public in the United Kingdom as “champagne” and as such has acquired a high reputation . . . In particular . . . champagne is a wine specifically associated with occasions of celebration so that (in addition to sales to persons who regularly buy wine) it is purchased on such occasions from time to time by many persons who are not in the habit of buying wine for consumption and are not educated in the nature or qualities of different kinds of wine.

Mr. Gunn agreed with that and said:

> I can say that the finding is as true today as it was when it was made, especially the last remarks concerning the public's knowledge of wines. If anything the last remark may be even truer today than then, as in the last 10 or 15 years, sales of wine have increased enormously; and while it is true that more people know more about wine now than in 1960, an even greater number who are “not educated in the nature or qualities of different kinds of wines” have started buying wines. I believe this enormous widening to have resulted from the market changes in the Wine Trade retail structure, now dominated by the major supermarkets. Wine has become widely available as an everyday commodity on supermarket shelves, to be picked up by the consumer.

He also pointed out that there were many non-alcoholic wines now gaining a presence in the market, including many non-alcoholic or low alcohol sparkling drinks. Mr. M.D. Campbell, the director of buying for Thresher, the largest drinks retailing chain in the country, and Mr. J.H. Brind, the central buyer of wines at Waitrose, the supermarkets division of the John Lewis Partnership, gave similar evidence.

These and several other witnesses gave evidence of the likelihood, though not of the actuality, of confusion between the defendants' Elderflower Champagne and champagne or of a mistaken belief that the defendants' product had something to do with champagne. Mr. Isaacs, Q.C. for the defendants objected to that evidence, and the judge referred to certain authorities to the effect that questions as to confusion or being deceived are for the court and that opinions on those questions are inadmissible in evidence. But he also referred to the remarks of Kerr L.J. in *Sodastream Ltd. v. Thorn Cascade Ltd. [1982] R.P.C. 459 at 468* to the effect that trade witnesses can give as admissible evidence, their opinions on the likely reactions of others in relation to matters which are within the sphere of their work, and to the similar remarks of Sir Nicolas Browne-Wilkinson V.-C. in *Guccio Gucci SpA v. Paolo Gucci [1991] F.S.R. 89 at 91* . The judge did not rule on this question, because he, independently of that opinion evidence, reached the same conclusion as the witnesses. We too have not heard argument on this question as it has not been necessary to take into account that evidence for the purpose of this appeal, but I cannot forbear to comment that the good sense of what Kerr L.J. and the Vice-Chancellor said seems to me to be obvious.

Passing off

The authoritative modern formulation of what constitutes the tort of ***664*** passing off is contained in *Erven Warnink BV v. Townend & Sons (Hull) [1979] A.C. 731* ("the *Advocaat* case"). In that case Lord Diplock pointed out that the tort had been extended beyond the classic form of it whereby the tortfeasor misrepresented his goods as the goods of someone else. He referred to the seminal speech of Lord Parker in *A.G. Spalding & Bros. v. A. W. Gamage Ltd. (1915) 84 L.J. Ch. 449 at 450* where the right the invasion of which is the subject of passing off actions was identified as the "property in the business or goodwill likely to be injured by the misrepresentation." Lord Diplock also referred to the classic statement by Lord Macnaghten of the concept of goodwill: "It is the benefit and advantage of the good name, reputation and connection of a business. It is the attractive force which brings in custom" ; *C.I.R. v. Muller & Co.'s Margarine Ltd. [1901] A.C. 217 at 223, 224* . This recognition that what the law protects by a passing off action is a trader's property in his business or goodwill, enabled the court in the *Spalding* case to give protection to a plaintiff trader whose goodwill was injured by another trader selling goods which he correctly represented to be his own but misrepresented to be goods of a quality superior to that of the plaintiff's goods. Lord Diplock identified five characteristics which must be present in order to create a valid cause of action for passing off:

> (1) a misrepresentation (2) made by a trader in the course of trade, (3) to prospective customers of his or ultimate consumers of goods or services supplied by him, (4) which is calculated to injure the business or goodwill of another trader (in the sense that this is a reasonably foreseeable consequence) and (5) which causes actual damage to a business or goodwill of the trader by whom the action is brought or (in a *quia timet* action) will probably do so; *[1979] A.C. 731* at 742.

Lord Diplock pointed out that even if all five characteristics are present, it does not follow that the court is bound to conclude that there has been an actionable wrong; but he held that all those characteristics were present in the *Advocaat* case and that as there was no exceptional feature which justified on grounds of public policy withholding a remedy, an injunction would lie.

Lord Fraser at pages 755–6 similarly described five essential facts which have to be shown in a passing off action. I only need mention the fifth as this was referred to by the judge and much relied on by Mr. Isaacs:

> that he has suffered, or is really likely to suffer, substantial damage to his property in the goodwill by reason of the defendants selling goods which are falsely described by the trade name to which the goodwill is attached.

The adjective "substantial" was not used by Lord Diplock to qualify his reference to damage, nor, I note, is it used by Lord Oliver in his recent reduction to three elements (essentially goodwill, misrepresentation, damage) of what has to be proved in order to succeed in a passing off action: *Reckitt & Colman Properties Ltd. v. Borden Inc. [1990] 1 W.L.R. 491 at 499* . I take Lord Fraser to be saying that there must be more than trivial or minimal damage, and I observe that this appears to have been the view too ***665** of Slade L.J. in *Stringfellow v. McCain Foods (G.B.) Ltd. [1984] R.P.C. 501 at 546* .

Lord Diplock in the *Advocaat* case specifically approved the extension to the law of passing off made by Danckwerts J. in *J. Bollinger v. Costa Brava Wine Co. Ltd. [1960] Ch. 262* . That case first recognised that there could be goodwill attaching to the name "champagne" which was shared by a large number of traders using that name as distinctive of their wines and which could be protected in a passing off action against traders who had no goodwill in that way but sought to make use of the reputation and goodwill of champagne. At the trial, Danckwerts J. in *Bollinger v. Costa Brava Wine Co. Ltd. (No. 2) [1961] 1 W.L.R. 277* held, on evidence to which the judge in the present case likened the evidence put before him, that champagne was distinctive of the wine produced in Champagne, that a substantial portion of the public, being "persons whose life or education has not taught them much about the nature, and production of wine, but who from time to time want to purchase champagne, as the wine with the great reputation," was likely to be misled by the misrepresentation constituted by the description by the defendant in that case of its wine as "Spanish champagne" and that it was a deliberate case of passing off which should be restrained by an injunction.

The judge's approach, which was entirely correct, was to follow the guidance given in the *Advocaat* case. He went through Lord Diplock's five essential characteristics, considering whether on the facts they had been established.

First he considered whether the defendants were guilty of any misrepresentation, a question which he rightly characterised as one of the most important in the present case. He was of the clear view that the labelling of the defendants' product constituted a misrepresentation in that the front label of their bottle indicates that it contains a champagne that is being sold under the name Elderflower. He pointed out, in my view correctly, that no great importance is to be attached to the back label; that is not likely to attract the close attention of many purchasers. Mr. Isaacs challenged the conclusion of the judge on misrepresentation, pointing to features of the labelling, get-up and retail selling, such as the price of the Elderflower Champagne, which he said should have led the judge to conclude that there was no misrepresentation. I cannot agree. It appears to my eye plain that there was a misrepresentation that the defendants' product was champagne or in some way associated with it. It was called champagne and the impression the name conveyed is strongly reinforced by the get-up with so many features of a typical champagne bottle present. Some who notice that it is non-alcoholic might well think that a non-alcoholic champagne has been produced by the champagne producers in the same way that non-alcoholic wine and beer have been produced. But I would go further on misrepresentation than the judge did. To my mind it is of cardinal importance in this case that, as the defendants accept, champagne is distinctive exclusively of a sparkling wine produced in Champagne. It is to be noted that the present case differs from several other champagne cases cited to us in which much of the evidence had been directed to whether ***666** champagne had become a generic term as other wines had done, no longer distinctive of wine produced in a particular area. Mr. Isaacs disclaimed any intention to argue that champagne was a generic term. But once it is accepted that champagne is so distinctive, I do not see how it is possible to market a product as Elderflower Champagne, which was made in Surrey, without making a representation that is a falsehood. Mr. Isaacs also challenged the finding of misrepresentation on the ground that there was no material misrepresentation. But that argument went to the question of confusion to which I will shortly come.

The judge then moved to the second and third characteristics, which, so far as relevant, are that the misrepresentation was made by a trader in the course of trade to ultimate consumers of goods supplied by him. He said that they were present and that is not challenged.

He next turned to the fourth characteristic, whether the misrepresentation was calculated to injure the business or goodwill of the champagne houses in the sense that this was a reasonably foreseeable consequence. He considered first whether the misrepresentation was calculated to injure and second whether or not any intent bore on the question. He referred to the opinion evidence of the plaintiffs' witnesses, of which I have already made mention and said:

> It is evidence which of course goes to show that the defendants' misrepresentation is calculated to deceive, that is to say is likely to lead the public, or a part of the public, into buying the defendants' merchandise in the belief that it is champagne. But if the evidence is put aside, so that I am obliged to use my own judgment in the matter. I come to the same conclusion as the witnesses.

He then explained that whereas the average member of the public seeing a bottle of Elderflower Champagne at a price of £2.45 would examine the bottle and by inspecting the label have any misrepresentation dispelled, there was another relevant section of the public. He continued:

> There is the simple unworldly man who has in mind a family celebration and knows that champagne is a drink for celebrations. He may know nothing of elderflower champagne as an old cottage drink. Seeing “Elderflower” on the label with below the name “Champagne” he may well suppose that he is buying champagne. Since the simple man I have in mind will know little of champagne prices, he is likely to suppose that he has found champagne at a price of £2.45. I do not mean that I now refer to any majority part of the public or even to any substantial section of the public, but to my mind there must be many members of the public who would suppose that the defendants' “Elderflower” is champagne. Thus it is that I find it established that the defendants' misrepresentation is a misrepresentation that is calculated to deceive.

This, therefore, is a plain finding of fact by the judge that many members of the public who are prospective purchasers of champagne would be deceived into thinking that the defendants' product was champagne. In my judgment there was evidence before the judge from which he could properly reach that conclusion, and I refer in particular to the evidence of Mr. Gunn, Mr. Campbell and Mr. Brind on the growth in the wine-buying public not ***667** educated in the nature and qualities of different kinds of wine. The judge only referred to those who thought Elderflower Champagne was champagne. It seems to me at least as likely that a not insignificant number of members of the public would think that it had some association with champagne, if it was not actually champagne. In this context it is worth recalling that Danckwerts J. in *Bollinger v. Costa Brava Wine Co. Ltd.*

(No. 2)[1960] 1 W.L.R. 277 at 282 recognised that a large number of people would not have been deceived by the description Spanish champagne and said:

> Moreover, when the case is tried in an atmosphere of educated persons, many of whom are well acquainted with the qualities of various wines, it may seem absurd that persons should be deceived by what may appear to be a transparent impersonation.

Nevertheless, he held that a substantial portion of the public would be misled. It is right not to base any test on whether a moron in a hurry would be confused, but it is proper to take into account the ignorant and unwary: *Singer Manufacturing Co. v. Loog (1882) 8 App. Cas. 15 at 18 per* Lord Selborne.

Lord Diplock's phrase “calculated to injure,” as he himself made plain, does not import a test of actual intention to injure: it is sufficient that this should be the reasonably foreseeable consequence of the misrepresentation. The judge held that the defendants did not intend to deceive or to ride on the back of the goodwill possessed by the champagne houses and did not find that Dr. Woodall adopted the Elderflower Champagne get-up with the intention of causing the public to believe that what he was selling was champagne. There is no appeal by the plaintiffs on this, but as Mr. Sparrow, Q.C. for the plaintiffs rightly stressed, the absence of subjective intention does not prevent the court from concluding that objectively it was a reasonably foreseeable consequence of the misrepresentation that injury to the plaintiffs would result. The judge himself said that his finding on subjective intention was of no service to the defendants as respects the first four characteristics identified by Lord Diplock because intent was not a necessary ingredient of the tort of passing off.

One might have expected the judge to turn at that point to the fifth characteristic identified by Lord Diplock, having apparently dealt with the first four. But surprisingly he then said: “Since I find that there has been a material misrepresentation, I move on to items (4) and (5) as mentioned by Lord Diplock” , and he went on to consider whether it was a reasonably foreseeable consequence of such misrepresentation that it would cause actual damage to the champagne houses' business or goodwill. I feel bound to say that this is inconsistent with his earlier treatment of the fourth characteristic, as is the way he then treats his earlier finding that many members of the public out to purchase champagne would be deceived into thinking that Elderflower Champagne was champagne. He thereafter refers to those members of the public as “a small section of the public” which then becomes “the very small section of the public that I have referred to above.” ***668***

In fact what the judge addresses is not the fourth and fifth but only the fifth characteristic.

But before I turn to that, I should express my conclusion on the fourth characteristic. In my opinion there was ample evidence that, objectively assessed, it was a reasonably foreseeable consequence of the misrepresentation that injury to the champagne houses' goodwill would result. It was accepted that they had a valuable goodwill in the exclusively distinctive name champagne, yet Dr. Woodall was using the name champagne to describe his drink (as was expressly stated in a press release put out by the defendants and as is manifest). Dr. Woodall himself accepted in cross-examination that obviously there was a likelihood of confusion in the use by the defendants of the word champagne, and he clearly wanted to use the name champagne to promote sales of their product.

Part of his cross-examination went as follows:

> (Q) So, you want to add the word “champagne” to this label because you think it will help you sell more bottles?
>
> (A) (*Pause*) . . .
>
> SIR MERVYN DAVIES : Well, come along—you do want to use the word “champagne,” do you not? (A) Yes, my Lord.
>
> (Q) That is why you are fighting the action, presumably.
>
> (A) Well, I want to use the word Elderflower Champagne and it's as simple as that.
>
> MR. SPARROW : But you have got Elderflower here. (A) Yes.
>
> (Q) You want to use the word champagne, do you not?
>
> (A) I would prefer to replace Sparkling Elderflower which I've already indicated is an unsatisfactory description and has been questioned by the trading standards officials with the proper name for the product which I consider to be Elderflower Champagne.
>
> (Q) Because you think that will help you to sell more bottles. (A) Well, I don't try to do things in business in order to diminish my sales.
>
> (Q) That is a rather ungracious affirmative response, but an affirmative response nonetheless, is it not? (A) Yes.

To all this can be added the judge's own finding that many members of the public would be deceived, quite apart from my own view that there would be members of the public who would think that the defendants' product is in some way connected with champagne. In my judgment the misrepresentation was plainly calculated to injure the plaintiffs' goodwill.

In relation to the fifth characteristic, that the misrepresentation should have caused or would probably cause actual damage to the champagne houses' goodwill, the judge held that the plaintiffs did not establish a likelihood of substantial damage. He reached this conclusion in this way. He posed the question whether it was really likely that the goodwill in the name "champagne" would be substantially affected if the defendants continued to sell Elderflower Champagne and answered that in the negative, the effect on the plaintiffs' reputation being in his view nil or minimal. He gave his reason as being that those who bought Elderflower Champagne in the belief that it was champagne made up a very small section of the public and he coupled that conclusion with the fact that the defendants' activities were on a small ***669** scale as compared with those represented by the plaintiffs. He further pointed to the absence of indication of any likely large scale enlargement of the defendants' operation.

I have already adverted to the inconsistency between his finding that many members of the public would be deceived when buying Elderflower Champagne and the description of them as constituting a very small section of the public. The deception of many members of the public cannot be *de minimis* . To this I would add the confusion of those who would think that the defendants' product had some association with champagne if it was not actually champagne. Further it cannot be right that the larger the scale of the activities of a trader suing in passing off, the less protection it will receive from the court because of a comparison with the scale of the activities of a defendant who trades on a smaller scale. The question is whether the relevant activities of the defendants are on such a small scale leading to such a small injury that it can be ignored. On the evidence of the defendants' sales, I find it impossible to say that that is the case here.

But in my judgment the real injury to the champagne houses' goodwill comes under a different head and although the judge refers to Mr. Sparrow putting the point in argument, he does not deal with it specifically or give a reason for its undoubted rejection by him. Mr. Sparrow had argued that if the defendants continued to market their product, there would take place a blurring or erosion of the uniqueness that now attends the word "champagne," so that the exclusive reputation of the champagne houses would be debased. He put this even more forcefully before us. He submitted that if the defendants are allowed to continue to call their product Elderflower Champagne, the effect would be to demolish the distinctiveness of the word champagne, and that would inevitably damage the goodwill of the champagne houses.

In the *Advocaat* case at first instance (*[1980] R.P.C. 31 at 52*) Goulding J. held that one type of damage was "a more gradual damage to the plaintiffs' business through depreciation of the reputation that their goods enjoy." He continued:

> Damage of [this] type can rarely be susceptible of positive proof. In my judgment, it is likely to occur if the word “Advocaat” is permitted to be used of alcoholic egg drinks generally or of the defendants' product in particular.

In the House of Lords in that case Lord Diplock referred to that type of damage to goodwill as relevant damage, which he described as caused “indirectly in the debasement of the reputation attaching to the name 'advocaat' ” (*[1979] A.C. 731 at 740*).

In *Vine Products Ltd. v. MacKenzie & Co. Ltd. [1969] R.P.C. 1 at 23* Cross J., commenting with approval on the decision of Danckwerts J. in *Bollinger v. Costa Brava Wine Co. Ltd. (No. 2)* said:

> [Danckwerts J.] thought, as I read in his judgment, that if people were allowed to call sparkling wine not produced in Champagne “Champagne,” even though preceded by an adjective denoting the country of origin, the distinction ***670** between genuine Champagne and “champagne type” wines produced elsewhere would become blurred; that the word “Champagne” would come gradually to mean no more than “sparkling wine”; and that the part of the plaintiffs' goodwill which consisted in the name would be diluted and gradually destroyed.

That passage was referred to approvingly by Gault J. in *Wineworths Ltd. v. CIVC [1992] 2 N.Z.L.R. 327 at 341* . In that case the sale of Australian sparkling wine under the name champagne was held to constitute passing off. The New Zealand Court of Appeal upheld the decision of Jeffries J. who had held in *CIVC v. Wineworths [1991] 2 N.Z.L.R. 432 at 450* : “By using the word champagne on the label the defendant is deceptively encroaching on the reputation and goodwill of the plaintiffs.” Jeffries J. had no doubt that if relief was not granted the plaintiffs would most certainly suffer damage if the word was used on all or any sparkling wine sold in New Zealand. He thought the ordinary purchaser in New Zealand without special knowledge on wines was likely to be misled. Gault J. after agreeing with Jeffries J. on deception said (at p. 343):

> I find the issue of damage or likely damage to the goodwill with which the name “Champagne” is associated equally obvious in light of the finding that there is in fact an established goodwill in New Zealand. I have no doubt that erosion of the distinctiveness of a name or mark is a form of damage to the goodwill of the business with which the name is connected. There is no clearer example of this than the debasing of the name “Champagne” in Australia as a result of its use by local wine makers.

By parity of reasoning it seems to me no less obvious that erosion of the distinctiveness of the name champagne in this country is a form of damage to the goodwill of the business of the champagne houses. There are undoubtedly factual points of distinction between the New Zealand case and the present case, as Mr. Isaacs has pointed out, and he placed particular reliance on the fact that in the New Zealand case as well as in *Bollinger v. Costa Brava Wine Co. Ltd. (No. 2)* , the court held that there was a deliberate attempt to take advantage of the name champagne, whereas in the present case the judge found no such specific intention. In general it is no doubt easier to infer damage when a fraudulent intention is established. But that fact does not appear to have played any part in the reasoning on this particular point either of Jeffries J. or of Sir Robin Cooke P., who (*[1992] 2 N.Z.L.R. 327 at 332*) thought the case exemplified the principle that a tendency to impair distinctiveness might lead to an inference of damage to goodwill, or of Gault J.; nor in logic can I see why it should. It seems to me inevitable that if the defendants, with their not insignificant trade as a supplier of drinks to Sainsbury and other retail outlets, are permitted to use the name Elderflower Champagne, the goodwill in the distinctive name champagne will be eroded with serious adverse consequences for the champagne houses.

In my judgment therefore the fifth characteristic identified in the *Advocaat* case is established. I can see no exceptional feature to this case ***671*** which would justify on grounds of public policy withholding from the champagne houses the ordinary remedy of an injunction to restrain passing off. I would therefore grant an injunction to restrain the defendant from selling, offering for sale, distributing and describing, whether in advertisements or on labels or in any other way, any beverages, not being wine produced in Champagne, under or by reference to the word champagne. That injunction, I would, emphasise, does not prevent the sale of the defendants' product, provided it is not called champagne.

Regulation 823/87

The plaintiffs rely on Regulation 823/87, as amended by Council Regulation 2043/89 . The former Regulation contains lengthy recitals which make abundantly clear the purpose intended to be achieved thereby. The following are relevant:

> Whereas, in order to protect producers from unfair competition and consumers from error and fraud, the terms "quality wine produced in a specified region" and "quality sparkling wine produced in a specified region" should be reserved for wines which comply with Community provisions, although the use of traditional specific designations in accordance with the provisions of the producer Member States should be permitted; whereas a list of such traditional specific designations should be drawn up so that they are known to all Member States; . . . ,
>
> Whereas the marketing of beverages not covered by the wine sector and of certain basic raw materials used to produce these beverages under names normally used to designate wines is liable to mislead the consumer as to the nature and origin of the product thus described and to injure the interests of wine producers;
>
> Whereas, with a view to informing consumers correctly and providing appropriate protection for the legitimate interests of wine producers, it is necessary . . . to permit direct or indirect use of such names for other beverages only where any risk of confusion as to the nature, origin, source or composition of the beverage in question is ruled out; . . .
>
> Whereas, in order to preserve the particular quality characteristics of quality wines psr, Member States should be allowed to apply additional or more stringent rules governing the production and movement of quality wines psr, in accordance with fair and traditional practices.

Article 1(2) of that Regulation, as amended by Article 1 of the later Regulation, refers to certain quality wines psr (produced in specified regions) including quality sparkling wines psr.

Article 15(1) of that Regulation as amended by Article 13 of the later Regulation, reads:

> The . . . specific terms traditionally authorised, as provided for in paragraph 2, by the national legislation of the producer Member State, to designate

> particular wines may be used, respectively, only for the wines listed in Article 1(2) . . . ***672***

Paragraph 2 of Article 15 refers to "Champagne" in relation to France. Article 15(5) , as amended, reads:

> The following may be used for the description and presentation of a beverage other than a wine or grape must only if there is no risk of confusion as to the nature, origin or source and composition of such beverage.
>
> . . .
>
> —a traditional specific term referred to in paragraph 2.

Thus, put shortly, only if there is no risk of such confusion can the word "champagne" be used for the description and presentation of a drink like Elderflower Champagne.

By Article 16 of the former Regulation each Member State is responsible for the control and protection of the quality wines psr marketed in accordance with the Regulation.

The Regulation is of course directly applicable and so it confers enforceable rights on persons within Member States. That much is common ground.

In accordance with Article 16, the United Kingdom has issued Regulations which make it an offence in this country not to comply with Article 15(5). The current Regulations are the Common Agricultural Policy (Wine) Regulations 1992 (1992 S.I. No. 672) , which require the Minister of Agriculture, Fisheries and Food and the Wine Standards Board to enforce Article 15(5) against a wholesaler here who fails to comply with the Article. Those Regulations do not confer rights on private persons like the plaintiffs.

The judge, after setting out the rival contentions before him that there was a risk of confusion caused by the use of the name Elderflower Champagne and that there was no such risk, cited from the decision of the European Court of Justice in *Deutsche Milchkontor v. Germany [1983] E.C.R. 2633 at 2634* . There the court referred to the principle that it is for Member States to ensure that Community Regulations are implemented within their territory and said (in paragraph 2):

> In so far as Community law, including its general principles, does not include common rules to this effect, the national authorities when implementing Community regulations act in accordance with the procedural and substantive rules of their own national law.

The judge said that in the absence of common rules he had to act in accordance with the substantive rules of English law, and this required him to consider whether there should be an injunction restraining the defendants from infringing Article 15(5); that afforded him a discretion which he decided to exercise so as to keep the situation in Community law the same as it is in English law and, accordingly, having refused the injunction against passing off, he refused the injunction sought under Community law.

I have serious doubts whether the judge's approach was correct on the facts found by him; but it is unnecessary to say more about that as in view of the conclusion that I have reached on passing off, it is clear that a more than minimal risk of confusion is produced by the use of the name Elderflower ***673** Champagne for the defendants' product. Accordingly, Article 15(5) is contravened and prima facie an injunction to prevent such contravention is the appropriate remedy for the plaintiffs.

Mr. Isaacs nevertheless argued that the injunction sought by the plaintiffs prohibiting the contravention of Regulation 823/87 as amended would offend the Community principle of proportionality as going too far. The applicability of the principle is well established but, having regard to the clear purpose of the Regulation, it seems to me plain beyond argument that there is nothing disproportionate in the grant of an injunction to restrain further contravention by the defendants.

Accordingly I would grant an injunction restraining the defendants from acting contrary to Regulation 823/87 as amended by using the name champagne for the description and presentation of their Elderflower Champagne or any other beverage not being wine produced in Champagne, where there is any risk of confusion as to the nature, origin or source and composition of such beverage.

For these reasons, with all respect to the very experienced judge, I would allow the appeal, discharge the inquiry as to damages and grant the injunctions which I have indicated.

MANN L.J.:

I have the advantage of reading in draft the judgment of Peter Gibson L.J. I am in agreement with it and add a few words of my own because I differ from the learned judge.

The plaintiffs established that the word "Champagne" has acquired a public goodwill as denoting a sparkling wine which is produced in the Champagne district of France. The judge held that the goodwill was part of the trading assets of the first appellant and those whom it represents. The appellants are entitled to have their goodwill protected against a deceptive use of the word "Champagne," and a deceptive use can be constituted either by a misrepresentation that a drink is Champagne or by a misrepresentation that a drink (or other product) has an association or connection with the business which owns the public goodwill: *H.P. Bulmer Ltd. & Another v. Bollinger SA & Another [1978] R.P.C. 79 at 99, 117 and 142* . The judge concluded that the defendants' product represented itself to be a champagne. There was material to warrant this conclusion in the obverse label and in the bottle's shape, colour and closure. However, having regard to the retail price and the non-alcoholic content, I think the preferable conclusion is that the defendants' product represents itself as having an association or connection with the business which has the goodwill. That is an untrue representation. However, the representation is not actionable unless it is likely to damage the appellants' goodwill.

The judge found that the appellants had not established a "likelihood of substantial damage." The reasons for his conclusion were that those who buy "Elderflower Champagne" in the belief that it is "Champagne" are few in number and that the defendants' activities are (at least as yet) on a relatively small scale. With respect to the judge, these reasons are not decisive against the appellants. Their case was and is, that the word ***674** "Champagne" has an exclusiveness which is impaired if it is used in relation to a product (particularly a potable product) which is neither Champagne nor associated or connected with the businesses which produce Champagne. The impairment is a gradual debasement, dilution or erosion of what is distinctive (compare Sir Robin Cooke P., *Wineworths Group Ltd. v. CIV [1992] 2 N.Z.L.R. 327 at 332*). The consequences of debasement, dilution or erosion are not demonstrable in figures of lost sales but that they will be incrementally damaging to goodwill is in my opinion inescapable. On this basis I would grant injunctive relief as claimed.

I am also of the opinion that the appellants are entitled to injunctive relief under European law. Article 15(5) of Council Regulation 823/87 inhibits the use of the name "Champagne" in relation to a beverage where there is "risk of confusion as to the nature, origin or source . . . of" the beverage. The purpose of the inhibition is to be found in the recitals to the directive and in particular the twentieth of them which refers to the provision of "appropriate protection for the legitimate interests of wine producers." Article 15(5) is directly applicable and Article 16 makes its enforcement the responsibility of Member States. Under English law an injunction is an available method of enforcement and its availability at the suit of an individual is unaffected by the availability of criminal processes to public authorities (see as to that availability: The Common Agricultural Policy (Wine) Regulations 1992, reg. 3). Had the judge granted an injunction in respect of the national law then he would also have granted an injunction in respect of European law. I respectfully doubt if this was the correct approach: once there is a risk of confusion, then subject to the principle of proportionality an injunction should issue without any further requirement. However, it suffices for me to say that an injunction is appropriate in respect of the national law, that an injunction is appropriate in respect of European law and that it is not disappropriate (*de minimis* apart) to prohibit that which gives rise to a risk of confusion.

I also would allow the appeal.

SIR THOMAS BINGHAM, M.R.:

I have had the advantage of reading in draft the judgment of Peter Gibson L.J., with which I am in complete agreement.

Since, on two points, I differ from the learned judge, and since the case has aroused some public interest, I very briefly summarise my own reasons for agreeing that the plaintiffs' appeal should be allowed.

In *H.P. Bulmer Ltd. and Showerings Ltd. v. J. Bollinger SA and Champagne Lanson Père et Fils [1978] R.P.C. 79 at 93–94* Buckley L.J. described the action for passing off in this way:

> To succeed on this part of the appeal the respondents must establish that the appellants have committed the tort of passing off, a form of civil actionable wrong which does not depend upon any legislation but is recognised as an actionable wrong by the general law of the land.
>
> A man who engages in commercial activities may acquire a valuable reputation in respect of the goods in which he deals, or of the services which he performs, ***675** or of his business as an entity. The law regards such a reputation as an incorporeal piece of property, the integrity of which the owner is entitled to protect. This does not, of course, mean that he is entitled to protection against legitimate competition in the market. If A's goods have acquired a reputation on the market connected with a particular name, mark or get-up, A cannot complain if the value of that reputation is depreciated by B coming on to the market with similar goods which acquire a reputation which owes nothing to the name, mark or get-up associated with A's goods. A can, however, complain if B in the course of his operations uses in connection with his goods the name, mark or get-up associated with A's goods or one so closely resembling it as to be likely to lead to confusion on the market between the goods of A and those of B. By so doing B wrongfully appropriates to himself part of the reputation belonging to A and so infringes the integrity of A's property in that reputation.

> This proprietary right recognised by the law is not a right in the name, mark or get-up itself: it is a right in the reputation or goodwill of which the name, mark or get-up is the badge or vehicle: *Singer v. Loog (1882) 18 Ch.D. 395* , *per* James L.J. at 412; *(1882) 8 A.C. 15* , *per* Lord Selborne at 26, 27; Lord Watson at 38, 39; *Burberrys v. Cording (1909) 26 R.P.C. 693* , *per* Parker J. at 701; *A.G. Spalding Bros. v. A.W. Gamage Ltd. (1915) 32 R.P.C. 273* *per* Lord Parker at 284. Upon analysis it seems to me to be clear that in principle this must be so. If B has made use of a name, mark or get-up which has become distinctive of A's goods, B does not damage or interfere with A's right or ability to use that name, mark or get-up but he does, or may be likely to damage A in respect of his trade, that is to say, in respect of his, A's enjoyment of an exclusive right to make use on the market of the reputation of his goods. What is damaged or liable to be damaged is that reputation. It is this which A is entitled to have protected.
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> If B sells goods which are not A's goods in such a way as to give the impression that they are A's goods. A may be injured in respect of his trade in either or both of two ways. He may lose sales of his own goods which he might otherwise have made, and the reputation which his goods enjoy may be depreciated by the confusion of B's goods with his so that A's competitive position in the market may be weakened. Moreover the exclusivity of the association of the name, mark or get-up with A's business might, perhaps, be shown to be itself a valuable asset as a powerful means of bringing A's goods to the notice of the public, thus maintaining and promoting A's competitive position on the market. It has not, however, been suggested that modern advertising techniques have made it possible for a name to acquire an intrinsic value of its own as an advertising asset. Such a suggestion (if feasible at all in any case) would have to be supported by evidence of a kind which is wholly absent from, and would seem to me most unlikely to be available in, the present case. I accordingly proceed upon the established basis (see the cases just cited) that a claim to relief against passing off cannot be based upon an alleged right of property in a name, nor in a mark or get-up. It is injury, or the likelihood of injury, to the reputation of A's goods or business, that is to say his goodwill, that founds the cause of action. If B's conduct has not the effect of damaging, or being likely to damage A in respect of his trade, B is not guilty of the tort of passing off.

He then referred to authority and continued:

> Goodwill is undoubtedly a form of property. It is, in my judgment, against infraction of this incorporeal property that the law will protect a plaintiff in a passing off action. So I think that in the present case one should keep prominently in mind the question whether what the plaintiffs have done (for, ***676** having regard to the form of the present action, the roles of the plaintiffs and the defendants are the reverse of what is usual) has injured or is likely to injure the defendants in their trade as makers of Champagne.

Although there have, since this judgment, been other summaries of the ingredients of the cause of action in passing off, notably in the speeches of Lord Diplock and Lord Fraser in the *Advocaat* case (*[1979] A.C. 731* at pages 742 and 755–6), the ruling of Buckley L.J. has never to my knowledge been criticised, varied or superseded. But it is now, as I understand, clear that a defendant need not, to be liable, misrepresent his goods to be those of the plaintiff is he misrepresents his goods or his business as being in some way connected or associated with the plaintiff's.

The plaintiff's first task in a passing off action is to prove an established commercial reputation distinctively attached to his goods or his services. That was not in issue in this case. The judge held:

> The word champagne is distinctive exclusively of a sparkling wine that is produced in the Champagne district of France as shown on a map that was produced. It is admitted that a valuable reputation and goodwill has been built up in the name Champagne, such goodwill being part of the trading assets of the first plaintiff and those represented by the first plaintiff.

In the United Kingdom, and throughout most of the world, that distinctiveness has been tenaciously and vigilantly protected by the Champagne houses. The nature, origin or source and composition of a bottle of Champagne are accordingly clear. I shall use the noun "Champagne" with a capital C to refer, and refer only, to the first plaintiffs' distinctive product.

Most, if not all, commercial products convey a statement as to what they are. The first issue in this case is as to the statement conveyed by the defendants' product. The plaintiffs' case is very clear. They say that the product is represented to be Champagne. They rely, first and foremost, on the label which so describes the contents of the bottle. They also rely, but to a lesser extent, on the appearance of the bottle, particularly the use of green glass, the use of a mushroom-shaped cork and a wire retaining device (which of course have a specific function in the case of Champagne but are unnecessary with a product such as this where there is no pressure to withstand) and, in the case of bottles sold through Sainsbury's, the use of gold foil to enclose the neck of the bottle, the cork and the wire retaining device.

The defendants' case is equally clear. That product is not, they say, represented to be Champagne but "Elderflower Champagne," a traditional English country drink unrelated to Champagne. They contend that any suggested association with champagne is negatived by this description, by the statement that the drink is non-alcoholic, by the label indicating that the cork is resealable, by the use of the English trade-name Thorncroft, by the absence of any reference to France, by the text of the label on the back of the bottle and by the price, a small fraction of the price of the cheapest Champagne, at which the product is sold. ***677***

The judge understood the label to be indicating that the bottle contained a Champagne being sold under the name "Elderflower." In reaching this conclusion he took account of, because he expressly referred to, the get-up of the product. This is certainly a possible understanding of the representation which the defendants made through their product as marketed. But I would myself be inclined to read the overall representation as being not that the contents were Champagne but that the product was in some way associated with or connected with or derived from Champagne. I am fortified in this conclusion by the reflection that no one in this country would ever, either here or on holidays in Europe, have seen a bottle labelled "Champagne" which was not Champagne.

If I am right (or the judge was right) as to the representation made, it must follow that this was a misrepresentation.

The second major issue was whether the defendants' misrepresentation, if it was such, was likely to injure the business or goodwill of the first plaintiffs, whether (in other words) there was a risk of confusion. The judge concluded that

> there must be many members of the public who would suppose that the defendants' "Elderflower" is champagne.

The plaintiffs supported this finding, the defendants challenged it. Both parties relied on the features already touched on when considering the representation made.

It is obvious that no discerning, or moderately discerning, buyer of wine would mistake the defendants' product for Champagne. But there is nothing in the evidence to suggest that the great mass of the urban population of this country have ever heard of elderflower champagne, a product never (so far as the evidence shows) exploited commercially at any time up to now. I accept the judge's view that many such buyers would be subject to confusion. Even if “Elderflower” and the price and the absence of alcohol made it plain that this was not Champagne, neither these nor other features would in my view dispel the belief, in many minds, that the product was in some way connected with or derived from Champagne.

It was on the issue of damage that the judge found against the plaintiffs, somewhat inconsistently as they submitted. He held:

> The effect on the plaintiffs' reputation will in my view be nil or minimal. I say that because those who buy Elderflower Champagne in the belief that it is champagne make up the very small section of the public that I have referred to above; and that consideration is coupled with the fact that the defendants' activities are on a small scale (as compared with those represented by the plaintiffs). Furthermore, there was no indication of any likely large scale enlargement of the defendants' operation. Since the plaintiffs do not establish a likelihood of substantial damage the passing off claim fails.

Plainly, those with any knowledge of wine will not buy the defendants' product instead of Champagne. It is also hard to imagine anyone buying the defendants' product instead of Champagne for a celebratory occasion for ***678** which he would otherwise buy Champagne. Even on those sporting occasions when the consumer's intention is not so much to drink the contents of the bottle as to spray it around, the defendants' product would be unsuitable as the bottle would not, even if shaken, produce the necessary head. Like the judge, I do not think the defendants' product would reduce the first plaintiffs' sales in any significant and direct way. But that is not, as it seems to me, the end of the matter. The first plaintiffs' reputation and goodwill in the description Champagne derive not only from the quality of their wine and its glamorous associations, but also from the very singularity and exclusiveness of the description, the absence of qualifying epithets and imitative descriptions. Any product which is not Champagne but is allowed to describe itself as such must inevitably, in my view, erode the singularity and exclusiveness of the description Champagne and so cause the first plaintiffs damage of an insidious but serious kind. The amount of damage which the defendants' product would cause would of course depend on the size of the defendants' operation. That is not negligible now, and it could become much bigger. But I cannot see, despite the defendants' argument to the contrary, any rational basis upon which, if the defendants' product were allowed to be marketed under its present description, any other fruit cordial diluted with carbonated water could not be similarly marketed so as to incorporate the description champagne. The damage to the first plaintiffs would then be incalculable but severe.

Differing as I do from the judge on the damage issue, but agreeing with him on the other passing off issues, I would allow the plaintiffs' appeal and grant appropriate injunctive relief. This conclusion is not in my view offensive to the common sense or the fairness of the situation. The defendants are plainly very anxious to describe their product as “Elderflower Champagne” rather than as “Elderflower” (the description used while the interlocutory injunction was in force) or some variant such as “Elderflower Sparkling Drink.” Why? Because a reference to champagne imports nuances of quality and celebration, a sense of something privileged and special. But this is the reputation which the Champagne houses have built up over the years, and in which they have a property right. It is not in my view unfair to deny the defendants the opportunity to exploit, share or (in the vernacular) cash in on that reputation, which they have done nothing to establish. It would be very unfair to allow them to do so if the consequence was, as I am satisfied it would be, to debase and cheapen that very reputation.

Even if I agreed with the judge on the damage issue, which for the reasons given I do not, I would not agree with his conclusion on the Community law issue.

The effect of Article 15(5) of Council Regulation 823/87 , in its unamended and its amended form, was to prohibit use of the name “Champagne” for the description and presentation of a beverage other than wine unless there was no risk of confusion as to the nature, origin or source and composition of such beverage. The judge held that there was a risk of such confusion, and I agree. The ordinary means of protecting the legitimate interests of wine ***679** producers and ensuring the supply of correct information to consumers, the objective specified in the twentieth recital of the Regulation, is by restraining the prohibited act. Under domestic law the grant of an injunction no doubt remains discretionary, but where the plaintiff's Community law right is infringed and no undertaking is offered by the defendant I would expect the grant of an injunction to follow in any ordinary circumstances. The absence of substantial damage, would not ordinarily justify the refusal of an injunction, in my judgment, since the Regulation clearly treats as critical not the likelihood of damage but the risk of confusion. Nor does the existence of a means of enforcement through the criminal law in my view deprive an aggrieved producer of his right to seek appropriate redress in the civil courts. I can see nothing disproportionate in restraining a defendant from doing the very act, but no more than the very act, which the Regulation prohibits. On this point also I would allow the plaintiffs' appeal. I do not find it necessary, in order to give judgment, to seek a ruling from the European Court of Justice, a possibility which was raised but not pressed.

Appeal allowed with costs in Court of Appeal and below; application for leave to appeal to the House of Lords refused. ***680**

Footnotes

1 *[1992] F.S.R. 647* .

2 Reported: *[1992] F.S.R. 647* .
3 *[1984] 3 C.M.L.R. 586* .
4 *[1992] F.S.R. 647* .

